

job as an economist for a consulting firm before he began university. The firm had an abrupt opening for an economist position because of the unexpected departure of an employee. At one point in his interview for the position, he was asked to explain the seeming paradox of the Keynesian multiplier. The interviewer asked, “How does taking money from people by selling bonds and giving that same amount of money back to people through fiscal spending create stimulus?” O’Shea replied, “That is a really good question. I never thought about it.” Apparently, the firm liked that he was willing to admit what he did not know rather than trying to bluff his way through, and he was hired.

O’Shea had picked up a good working knowledge of econometrics through independent reading, so the firm made him the economist for the Belgian economy. He was sufficiently well prepared to be able to use the firm’s econometric models to derive forecasts. O’Shea, however, was kept behind closed doors. He was not allowed to speak to any clients. The firm couldn’t exactly acknowledge that a 19-year-old was generating the forecasts and writing the reports. But they were happy to let O’Shea do the whole task with just enough supervision to make sure he didn’t mess up.

At the time, the general consensus among economists was that the outlook for Belgium was negative. But after he had gone through the data and done his own modeling, O’Shea came to the conclusion that the growth outlook for Belgium was actually pretty good. He wanted to come up with a forecast that was at least 2 percent higher than the forecast of any other economist. “You can’t do that,” he was told. “This is not how things work. We will allow you to have one of the highest forecasts, and if growth is really strong as you expect, we will still be right by having a forecast near the high end of the range. There is nothing to be gained by having a forecast outside the range, in which case if you are wrong, we would look ridiculous.” As it turned out, O’Shea’s forecast turned out to be right, but no one cared.

His one-year stint as an economist before he attended university taught O’Shea one important lesson: He did not want to be an economic consultant. “As an economic consultant,” he says, “how you package your work is more important than what you have actually done. There is massive herding in economic forecasting. By staying near the benchmark or the